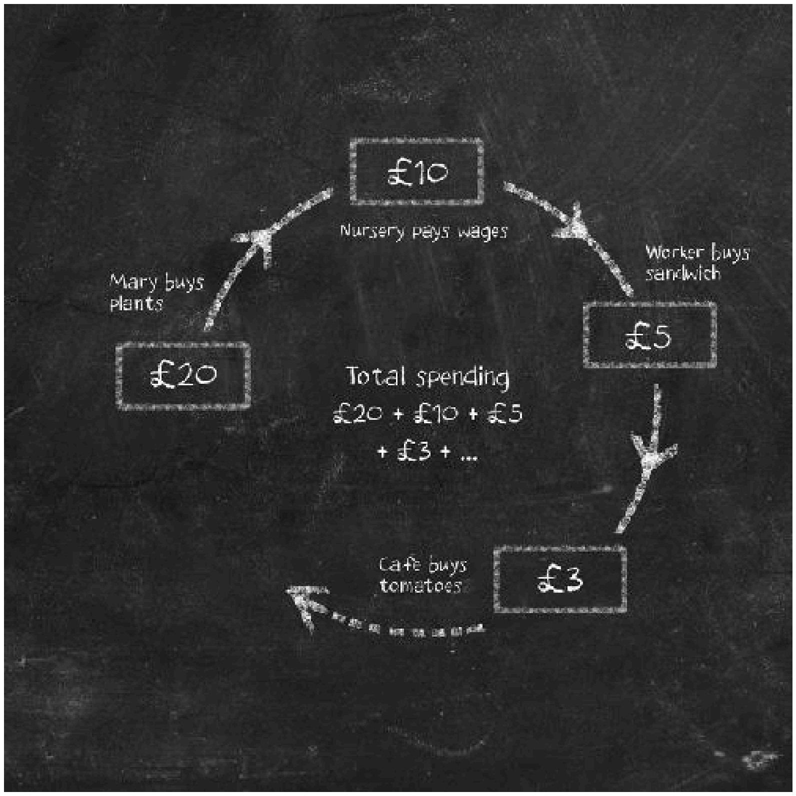
The Keynesian multiplier

Mary's aunt gives her £20 for her birthday, which she spends on new plants for her garden. The plant shop gains £20 and part of this revenue is used to pay the wages of the shop assistant. The shop assistant uses some of his wages to buy a sandwich, and some of the money that the café receives is used to buy tomatoes. As it diffuses through the economy, Mary's £20 gives rise to many other items of spending, demand for goods and services that go far beyond her initial purchase of plants. This is John Maynard Keynes's idea of the 'multiplier'.

Because individuals and firms generally only spend a proportion of their income, the impact of Mary's £20 eventually fizzles out. Before it does, though, it may have generated spending in the economy worth, say, £40. Keynes was particularly interested in ways that government spending could harness this multiplier: by spending money itself, the government might be able to trigger a chain of purchasing that would boost the economy by significantly more than its own outlay.


£10
Nursery pays wages
Worker buys sandwich
£5
Mary buys plants
£20
Total spending
£20 + £10 + £5 + £3 + ...
Cafe buys tomatoes
£3